How much should you transfer? The best answer is: as much as you can. Ideally, you'll have a household spending plan. Transfer the excess of your pay over the amount in your spending plan. If you don't have a household spending plan, transfer a fixed amount each month. Determine the right amount by watching your checking account balance. You want your checking account to be out of money just before you receive your next paycheck.

If you're self-employed, writing yourself a check each month is even more important than for employees. If you're like most self-employed people I know, you tend to leave excess funds in your business. When you need money for personal use, you withdraw the required amount. But that system gives you the sensation that there's money for whatever you want to do. You're better off to withdraw all excess funds. Put what you need for daily expenses in your checking account. Stash the rest in a personal savings account.

START A HIGH-RISK/LOW-RISK INVESTMENT PROGRAM

If you've followed the rules so far you've got your salary up and your spending down. You've enrolled in benefit programs where you work. If you're self-employed you've got an IRA, trust fund, or whatever. You're writing yourself a check each month to get money into your savings account.

You're ready for the final step:

Start a high-risk/low-risk investment program

In the two-year M.B.A. program at Stanford, we took courses on how to invest. We learned to reduce alpha risk, to choose the right beta risk, and to calculate returns. We learned when and how to trade commodities, foreign exchange, gold, and options. We came up with overall strategies. We man-